



S1-2026-27 Work Integrated Learning Programmes S1-2026-27

**Teams and Communication
(T1 – Chapters 10 & 12)**

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MBA ZG511, Managing People and Organizations

Lecture No. 10

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Learning Objectives – Understanding Work Teams

- Analyze the growing popularity of teams in organizations
- Contrast groups and teams
- Contrast types of teams
- Show how organizations can create team players
- Decide when to use individuals instead of teams

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Why Have Teams Become So Popular?

To compete better!!

Teams:

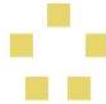
- Offer a better way to use employee talents
- Are more flexible and responsive to changing events
- Can quickly assemble, deploy, refocus, and disband
- Facilitate participation in operating decisions
- Can be swayed by fads, herd mentality, leading astray

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Comparing Work Groups and Work Teams

Work Groups



Share information

Neutral (sometimes negative)

Individual

Random and varied

Work Teams



Goal

Synergy

Accountability

Skills

Collective performance

Positive

Individual and mutual

Complementary

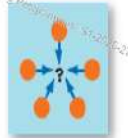
Effective Teams have certain characteristics

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Types of Teams

5-10 employees from the same department meet for a few hours a week to discuss ways of improving quality and efficiency



Problem-solving

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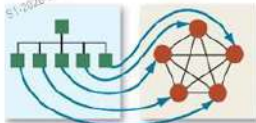
Self-managed

Highly dependent jobs, these teams take up supervisory responsibilities, - planning scheduling etc. Suffers from lack of authority, accountability – bound to have conflicts

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Types of Teams



Cross-functional

Employees from same hierarchical level but from different work areas come together to accomplish a task

Jack Welch popularized the idea of cross-functional teams. Typically when employees from marketing, finance and engineering had a chance to work together GE became more efficient

Toyota, Nissan, BMW, GM and Chrysler use this team form to coordinate complex projects

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Technology ties together physically dispersed members

Trust needs to be developed, progress needs to be monitored closely, efforts and products of the team are publicised throughout the org. For visibility



Virtual

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Team Effectiveness Model

Composition

- Abilities of members
- Personality
- Allocating roles
- Diversity
- Cultural differences
- Size of teams
- Member preferences

Context

- Adequate resources
- Leadership and structure
- Culture or Climate
- Performance evaluation and reward systems
- Technology/Virtuality
- Interdependence
- Norms
- Crises and extreme contexts

Team effectiveness

Processes and States

- Common purpose
- Motivation
- Team efficacy
- Team identity
- Team cohesion
- Mental models
- Conflict
- Social loafing
- Trust

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Roles of Teams



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How to create team players

Selection

Make team skills one of the interpersonal skills in the hiring process.

Training

Specialists conduct exercises that allow employees to experience the satisfaction that a teamwork can provide

Rewards

Rework the reward system to encourage cooperative efforts rather than competitive (individual) ones

Continue to recognize individual contributions while still emphasizing the importance of teamwork

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Secrets of Successful Teams

Google's Project Aristotle

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Beware! Teams Aren't Always the Answer

Teams take more time and resources than does individual work.

Three tests to see if a team fits the situation:

1. Is the work complex and is there a need for different perspectives – will it be better with the insights of more than one person?
2. Does the work create a common purpose or set of goals for the group that is larger than the aggregate of the goals for individuals?
3. Are members of the group involved in interdependent tasks?

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Case – Tongue-Tied in Teams

Thirty-one year old Robert Murphy has the best intentions to participate in team meetings, but when it's "game time," he chokes. An online marketing representative, Robert cannot be criticized for lack of preparation. After being invited to a business meeting with six of his co-workers and his supervisor, Robert began doing his research on the meeting's subject matter. He compiled notes, arranged them neatly, and walked into the meeting room. As soon as the meeting began, "I just sat there like a lump, fixated on the fact that I was quiet." The entire meeting passed without Robert contributing a word.

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Case – Tongue-Tied in Teams

Robert is certainly not the first person, nor is he the last, to fail to speak up during meetings. While some employees may actually lack ability, the highly intelligent also freeze. One study found that if we believe our peers are smarter, we experience anxiety that temporarily blocks our ability to think effectively. In other words, worrying about what the group thinks of you makes you dumber. The study also found the effect was worse for women, perhaps because they are more socially attuned.

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Case – Tongue-Tied in Teams

In other cases, failing to speak up may be attributed to personality. While the extraverted tend to be assertive and assured in group settings, the more introverted among us prefer to collect their thoughts before speaking—if they speak at all. But again, even those who are extraverted can remain quiet, especially when they feel they cannot contribute.

What to do? Michael Woodward, an organizational psychologist, suggests pairing up with someone more assertive who can pull you into the conversation. Preparation is also key, even if it means talking to the person facilitating the meeting beforehand to discuss your thoughts. And finally, the realization that others may be feeling the same anxiety can also help spark the confidence to speak up.

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Questions

- ✓ Recall a time when you failed to speak up during a group meeting. What were the reasons for your silence? Are they similar to or different from the reasons discussed above here?
- ✓ Beyond the tips provided in this Case Incident, can you think of other strategies that can help the tongue-tied?

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Implications for managers

- Equip teams with resources, leadership, trust, rewards for team contributions
- Select individuals with interpersonal skills, provide training to develop team work skills
- Teams are NOT always needed; Individual contributors might be a better choice when tasks will not benefit from interdependency

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Learning Objectives - Communication

- Identify the main functions of communication
- Describe the communication process and formal and informal communication
- Contrast downward, upward, and lateral communication
- Compare and contrast formal small-group networks and the grapevine
- Contrast oral, written, and nonverbal communication
- Show how channel richness underlies the choice of communication channel
- Identify common barriers to effective communication

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Functions of Communication



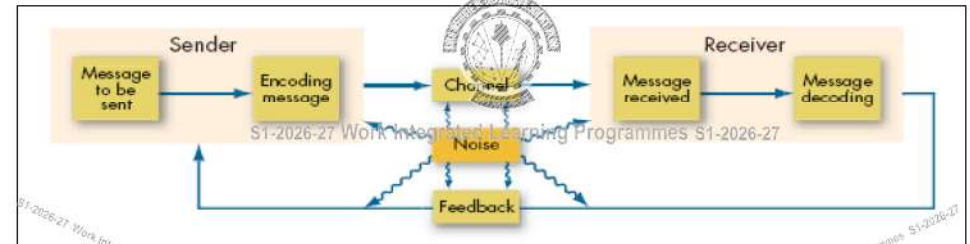
- Control member behavior
- Foster motivation for what is to be done
- Provide a release for emotional expression
- Provide information needed to make decisions

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The Communication Process

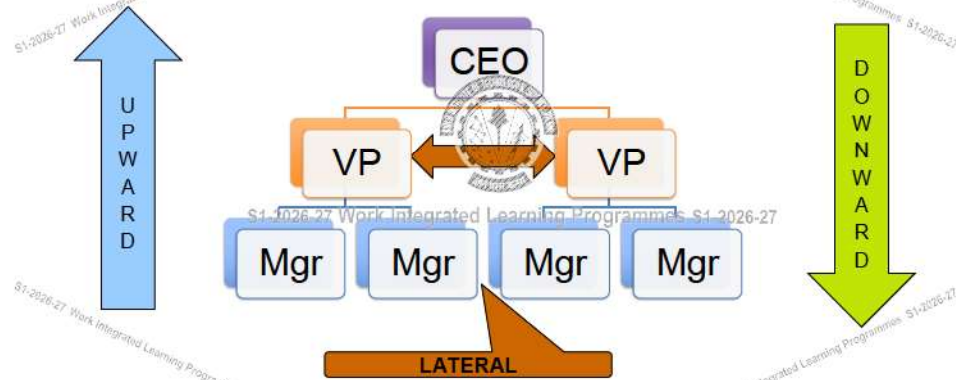
The steps between a source and a receiver that result in the transference and understanding of meaning



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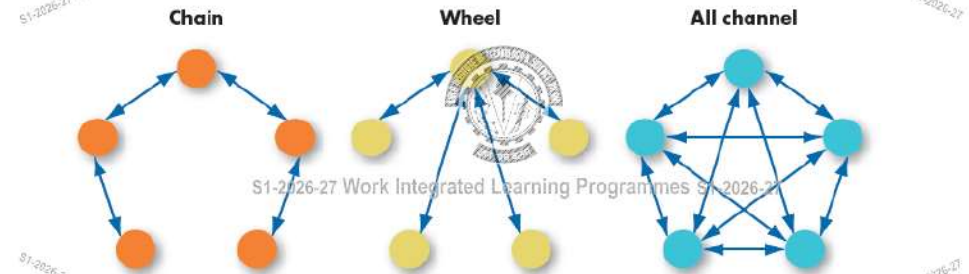
Direction of Communication



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Common Small-Group Networks



No single network will be best for all occasions

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Small-Group Networks & Effective Criteria

Criteria	Chain	Wheel	All Channel
Speed	Moderate	Fast	Fast
Accuracy	High	High	Moderate
Emergence of a leader	Moderate	High	None
Member satisfaction	Moderate	Low	High

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The Grapevine

- Informal communication network in a group or organization.
- Rumors
- Important
- Ambiguity
- Arouse anxiety



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Contrast Oral, Written, and Nonverbal Communication



Oral Communication

- Speeches
- Formal discussions
- Informal rumor mills or grapevines
- Meetings
- Videoconferencing
- Telephone

Written Communication

- Letters
- Presentations
- E-mail
- Instant Messaging, Text Messaging
- Social Media



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Contrast Oral, Written, and Nonverbal Communication

Nonverbal Communication

- Body movements, intonations or emphasis
- Conveys status, level of engagement and emotional states



Physical distance

- Depends on cultural norms
- May indicate curiosity, aggressiveness, disinterest etc.



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Choice of Communication Channel



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Barriers to Effective Communication

Filtering

- A sender's manipulation of information so that it will be seen more favorably by the receiver

Selective Perception

- People selectively interpret what they see on the basis of their interests, background, experience, and attitudes

Information Overload

- A condition in which information inflow exceeds an individual's processing capacity

Emotions

- How a receiver feels at the time a message is received will influence how the message is interpreted

Language

- Words have different meanings to different people

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More Barriers to Effective Communication

Silence

- An absence of information due to employees' apprehension of being belittled or ignored on voicing divergent opinions or concerns



Communication Apprehension

- Undue tension and anxiety about oral communication, written communication, or both

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Effective communication skills at the workplace

<https://www.youtube.com/watch?v=bppRqTj8a7o>

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Case: Using Social Media to Your Advantage

Do organizations understand yet how to use social media effectively? Perhaps not. Recent findings indicated that only three out of ten CEOs in the Fortune 500 have any presence on national social media sites. Many executives are wary of these new technologies because they cannot always control the outcomes of their communications. However, whether they are directly involved with social media or not, companies should recognize that these messages are out there, so it behooves them to make their voices heard. Some experts say social media tools improve productivity because they keep employees connected to their companies during non-office hours. And social media can be an important way to learn about emerging trends.

- André Schneider, chief operating officer of the World Economic Forum, uses feedback from LinkedIn discussion groups and Facebook friends to discover emerging trends and issues worldwide.
- Padmasree Warrior, chief technology officer of Cisco, has used social media to refine her presentations before a "test" audience.

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Case: Using Social Media to Your Advantage

- The first step in developing a social media strategy is establishing a brand for your communications—define what you want your social media presence to express.
- Experts recommend that companies begin their social media strategy by leveraging their internal corporate networks to test their strategy in a medium that's easier to control.
- Most companies already have the technology to use social media through their corporate websites.
- Begin by using these platforms for communicating with employees and facilitating social networks for general information sharing.
- As social networking expert Soumitra Dutta from Insead notes, "My advice is to build your audience slowly and be selective about your contacts."

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Case: Using Social Media to Your Advantage



Despite the potential advantages, companies also need to be aware of significant drawbacks to social media.

- First, it's very difficult to control social media communications. Microsoft found this out when the professional blogger it hired spent more time promoting himself than getting positive information out about the company.
- Second, important intellectual capital might leak out. Companies need to establish very clear policies and procedures to ensure that sensitive information about ongoing corporate strategies is not disseminated via social media.
- Finally, managers should maintain motivation and interest beyond their initial forays into social media. A website that's rarely updated can send a very negative message about the organization's level of engagement with the world.

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MBZG511, Managing People and Organizations

Lecture No. 11

Leadership vs. Management

Leadership

- is the ability to influence a group toward the achievement of a vision or set of goals.

Management

- Use of authority inherent in designated formal rank to obtain compliance from organizational members

(Read: Managers and Leaders: Are they different? (HBR article, 2004))

Companies need both Leaders and Managers to flourish

Leadership vs. Management

	Managers	Leaders
Attitudes towards goals	Impersonal passive outlook Goals out of necessities and not desires Responds to ideas	Personal and active outlook Shapes ideas, set direction
Conceptions of work	Negotiate, coerce, balancing or posing views, avoid risk	Develop fresh approaches to problems, seek risk when opportunities are promising
Relations with others	Maintain minimal involvement, lacks empathy Focus on process	Relate to others intuitively, directly and empathetically Focus on events and decisions
Sense of Self	Comes from perpetuating and strengthening existing institutions	Comes from struggles to profoundly alter human and economic relationships

*Source: HBR article 2004

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Theories of Leadership

- Trait theories of leadership focus on personal qualities and characteristics.
- Behavioral theories of leadership - can *train* people to be leaders
 - Initiating structure define and structure roles for attaining goals
 - Consideration -relationships characterized by mutual trust, respect for ideas and feelings
- Contingency Theories of Leadership
 - Fiedler's model
 - Hersey and Blanchard's SLT
 - Path-Goal Model

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Contingency Theories of Leadership

➤ The Fiedler contingency model

- A key factor in leadership success is the individual's leadership style.

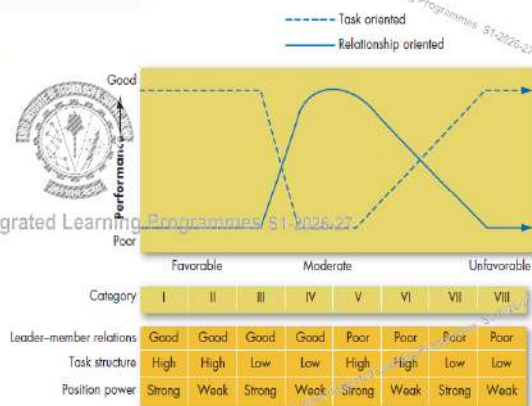
➤ Least preferred co-worker (LPC) questionnaire.

- Task or relationship oriented.
- Assumes leadership style is fixed.

➤ Defining the Situation

➤ Contingency dimensions:

1. Leader-member relations
2. Task structure
3. Position power



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Contingency Theories

Hersey and Blanchard's Situational Leadership Theory (SLT)

- Argues that successful leadership is achieved by selecting the right leadership style which is contingent on the level of the followers' readiness.
 - Acceptance: leadership effectiveness depends on whether followers accept or reject a leader.
 - Readiness: the extent to which followers have the ability and willingness to accomplish a specific task.
- Leaders must relinquish control over and contact with followers as they become more competent.

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Contingency Theories of Leadership



Hersey and Blanchard's Situational Leadership Theory (SLT) (cont'd.)

- Creates four specific leadership styles incorporating Fiedler's two leadership dimensions:
 - Telling: high task-low relationship leadership
 - Selling: high task-high relationship leadership
 - Participating: low task-high relationship leadership
 - Delegating: low task-low relationship leadership

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Contingency Theories of Leadership



Hersey and Blanchard's Situational Leadership Theory (SLT) (cont'd)

- Posits four stages follower readiness:

- R1: followers are unable and unwilling
- R2: followers are unable but willing
- R3: followers are able but unwilling
- R4: followers are able and willing

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House's Path-Goal Model



• Directive Leadership

Greater employee satisfaction when task is ambiguous and stressful rather than highly structured



• Supportive leadership

Results in high employee performance and satisfaction when employees are doing structured task

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Contemporary Theories of Leadership



Charismatic Leadership

Transformational-Transactional Leadership



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Charismatic Leadership

A certain quality of an individual personality, by virtue of which he or she is set apart from ordinary people and treated as endowed with supernatural, superhuman, or at least specifically exceptional powers or qualities.



1. **Vision and articulation.** Has a vision—expressed as an idealized goal—that proposes a future better than the status quo; and is able to clarify the importance of the vision in terms that are understandable to others.
2. **Personal risk.** Willing to take on high personal risk, incur high costs, and engage in self-sacrifice to achieve the vision.
3. **Sensitivity to follower needs.** Perceptive of others' abilities and responsive to their needs and feelings.
4. **Unconventional behavior.** Engages in behaviors that are perceived as novel and counter to norms.

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Are Charismatic Leaders Born or Made?



Some individuals are born with charismatic traits, others are trained to exhibit charismatic behaviors.

- Develop the aura of charisma by maintaining an optimistic view, using passion as a catalyst for generating enthusiasm, and communicating with the whole body, not just with words.
- Create a bond that inspires others to follow.
- Bring out the potential in followers by tapping into their emotions.

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Transformational – Transactional Leaders

Transactional

- Contingent Reward
- Management by Exception (active)
- Management by Exception (passive)
- Laissez-Faire

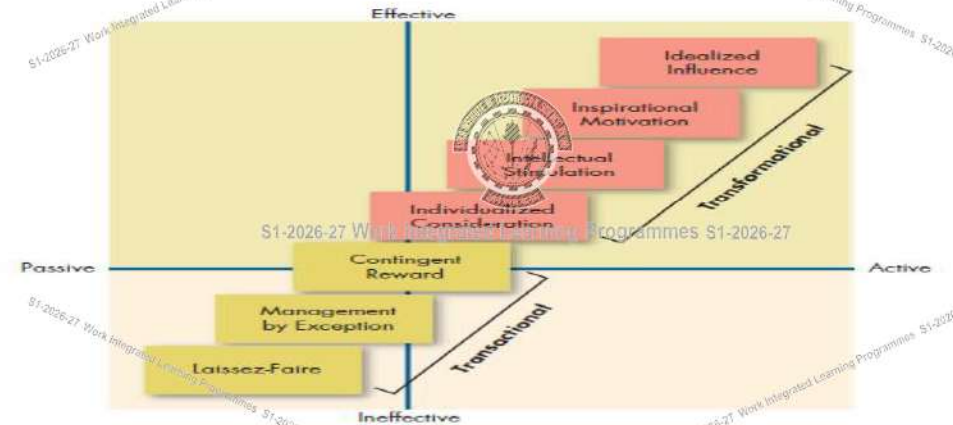
Transformational

- Idealized Influence
- Inspirational Motivation
- Intellectual Stimulation
- Individualized Consideration

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Full Range of Leadership Model



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Blindfold activity to teach leadership

Student responses - How it feels to lead and to follow

- "When I was blindfolded, I felt very uncertain. I didn't know where to go."
- "My partner was at my back and was giving me instructions. That was confusing."
- "My partner had a hand on my shoulder, which was reassuring, but it really didn't help because I was in the front, and I was scared."
- "When I was leading, my partner was too slow."
- "I don't know why my partner didn't trust me at all. I could see, and I was leading her."
- "My partner was not able to follow instructions when I was leading. He was too hesitant."

Bishakha Majumdar, Assistant Professor of Organizational Behavior and Human Resource Management at Indian Institute of Management Visakhapatnam. She conducted a blindfold activity, to teach her students about leadership, followership, and the important qualities needed to build trust and interpersonal relationships. The objectives are to see how it feels to lead and to follow.

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Blindfold activity to teach leadership

Takeaways for students

- Leaders need to understand Empathy. "If the leaders—and followers—have no empathy for one another, the process is very difficult to execute."
- Followers, on the other hand, need to remember to trust the leaders. "When you trust one another, that makes the whole process a lot easier."

Path to Employment – Learning Curve

Importance of trust and empathy

- How the smallest action can have different implications for the recipient
- Leading someone by holding hands versus giving verbal instruction

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Leadership Point of View

Point of View	Language Cues
Follower's POV	What do you want me to do? Will you give me more authority? I need you to clear the obstacles for me.
Bureaucrat's POV	That's not my job. I'll pass that on to so-and-so. Our procedures don't allow that. We've never done it that way. This hasn't been approved. I can't do that without my supervisor's permission.
Administrator's POV	What did they do last time? We've never done it that way. Let's see, what was the rule on that? How can we maintain our present position?
Contrarian's POV	That'll never work! We tried that before. That's a terrible idea. You won't be able to fund it. You'll never be able to do it in time.

*Source: HBR article UV0645

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What is the role of a leader ?

Role of a leader - Jack Welch

Psychological safety - Simon Sinek - *Why Good Leaders Make You Feel Safe*

<https://www.youtube.com/watch?v=lmYZMtPVo0c>

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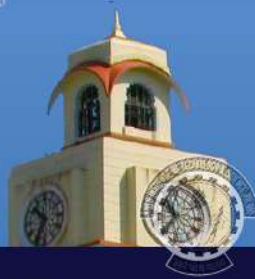
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Thank You

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Managing People and Organizations

Department of Management – Off campus

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MBAZG511 Managing People and Organizations

Lecture No. 12

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Learning Objectives

After studying this learning sequence, you should be able to:

- Identify the six elements of an organization's structure
- Three Common Organizational Designs
- Three New Design Options
- Demonstrate how organizational structures differ, and contrast mechanistic and organic structural models.

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Six Elements of an Organization's Structure

- Work Specialization** To what degree are activities subdivided into separate jobs?
- Departmentalization** On what basis will jobs be grouped together?
- Chain of command** To whom do individuals and groups report?
- Span of control** How many individuals can a manager efficiently and effectively direct?
- Centralization and decentralization** Where does decision-making authority lie?
- Formalization** To what degree will there be rules and regulations to direct?

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Six elements of an organization's structure

Repetition

- Specialization through, standardized tasks with limited skills
- + Increased efficiency and productivity
- Increased fatigue and absenteeism

Yesteryear

Breaking mfg. tasks into specific duties
E.g. Hamburgers, Fries, Auto parts by Ford Motors

Today

Breaks complex tasks into specific elements by technology, expertise, and region
E.g. e-lancing, data processing

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Six elements of an organization's structure

Economies and Diseconomies of Work Specialization



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Departmentalization

Basis on which jobs are grouped together

- **Functions** e.g. Hospital - research, surgery, intensive care
- **Type of product or service** - FMCG - Soaps, Cosmetics, Groceries etc.
- **Geography** - Europe, Americas, Middle East
- **Process** - Validation, Processing, Collection etc.
- **Customer** - Adults, Kids, seniors, Women

- Coordination and communication across groups
- Can change over a period of time

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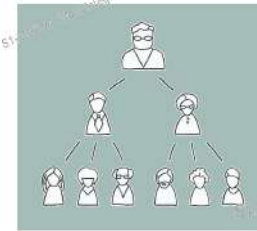
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Chain of Command

Chain of Command

- Chain of command – an unbroken line of authority that extends from the top of the organization to the lowest echelon and clarifies who reports to whom.
- Once a basic cornerstone in organization design.
- Two complementary concepts:
 - Authority
 - Unity of command

Chain of Command



A Pyramid structure is preferred over a line of command since it:

- Acknowledges collective contribution of lower-level employees
- Enhanced group performance and social relationships

Span of control

- Number of employees that a manager can direct efficiently and effectively
- All things equal, wider the span, fewer the levels, more employees at each level, more efficient the organization is
- Span of 8 – preferred, cost effective since managerial salaries saved
- Span of 4 - Expensive, reduced autonomy for employees
 - More time for subordinates, leadership and employee support

Span of control



Assuming Span of 4



Assuming span of 8

Highest Level
↑
Organizational Level
↓

Centralization and Decentralization



Centralization and Decentralization

- Centralization refers to the degree to which decision-making is concentrated at a single point in the organization.
- Advantages of a **decentralized** organization:
 - Can act more quickly to solve problems.
 - More people provide input into decisions.
 - Employees are less likely to feel alienated from those who make decisions that affect their work lives.



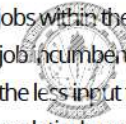
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Formalization



- Formalization – the degree to which jobs within the organization are standardized.
 - A highly formalized job gives the job incumbent a minimum amount of discretion.
 - The greater the standardization, the less input the employee has into how the job is done.
- Low formalization – job behaviors are relatively non-programmed, and employees have a great deal of freedom to exercise discretion in their work



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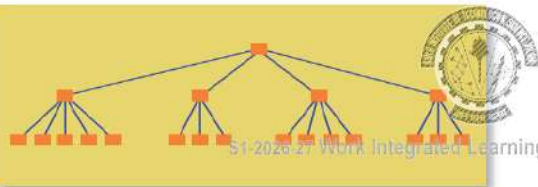
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Common Organizational Designs



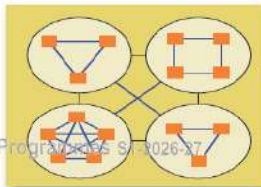
Exhibit 15-7 Mechanistic versus Organic Models

The Mechanistic Model



- High specialization
- Rigid departmentalization
- Clear chain of command
- Narrow spans of control
- Centralization
- High formalization

The Organic Model



- Cross-functional teams
- Cross-hierarchical teams
- Free flow of information
- Wide spans of control
- Decentralization
- Low formalization



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Common Organizational Designs - Simple structure



The simple structure is most widely practiced in small businesses in which the manager and the owner are one and the same.

- Strengths:
 - Simple, fast, and flexible.
 - Inexpensive to maintain.
 - Accountability is clear.
- Weaknesses:
 - Difficult to maintain in anything other than small organizations.
 - Risky—everything depends on one person.



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Bureaucracy



A bureaucracy is characterized by standardization

- Highly routine operating tasks.
- Very formalized rules and regulations.
- Tasks grouped into functional departments.
- Centralized authority.
- Narrow spans of control.
- Decision making that follows the chain of command.

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Matrix Structure



Pros

- Two bosses – functional and product – dual chain of command
- Brings experts together
- Facilitates coordination when complex and interdependent activities

Cons

- Creates confusions, role conflict since more than one boss
- Fosters power struggles

Programs	Undergraduate	Master's	Ph.D.	Research	Executive Development	Community Service
Academic Departments						
Accounting						
Finance						
Decision and Information Systems						
Management						
Marketing						

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Virtual Structure



- Why own when you can rent?
- Major business functions outsourced – staffed with best talents suited for the task in hand, minimizes overhead, a team is assembled for a finite time and disbanded

- Franchises – Mc Donalds, Pizza Hu, Dunkin Donuts
- Sometimes perpetual flux and reorganization
- Roles, goals and responsibilities not clear leading to increased political behaviour

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Team Structure



- Departments replaced with empowered teams
- Eliminates horizontal boundaries between customers and suppliers
- Cross hierarchical teams, participative decision making, 360-degree performance appraisals

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Circular Structure

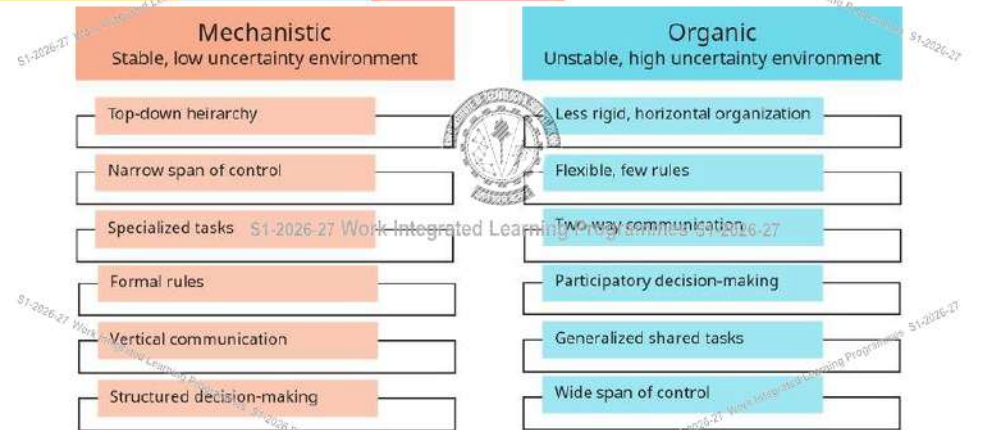
- Executives are at the center, spreading their vision outward in rings grouped by function (managers, then specialists, then workers)
- Suited for small innovative firms, or spreading a vision of CSR

- Employees become unclear on whom to report to or who is running the show
- Popularity yet to be established



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Organizational structures



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Strategy and Structure

- Innovation – Introduction of new products E.g. Apple, 3M
- Cost Minimization – Tight cost controls, avoidance of innovation, and marketing E.g. Walmart
- Imitation – Making new products or entering new markets only after other innovators or competitors have proven viability E.g. Mass market fashion manufacturers copy designer styles

Strategy	Structural Option
Innovation	Organic: A loose structure; low specialization, low formalization, decentralized
Cost minimization	Mechanistic: Tight control; extensive work specialization, high formalization, high centralization
Imitation	Mechanistic and organic: Mix of loose with tight properties; tight controls over current activities and looser controls for new undertakings

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Watch Time

<https://www.youtube.com/watch?v=u3PnRC6Zn9g>

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Case Study



Syngenta - Org. Structure.pdf



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Thank You

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Organizational Culture & Change
(T1 – Chapters 15 & 16)

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MBA ZG511, Managing People and Organizations -
Lecture No. 13

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Learning Objectives – Organizational Culture



After studying this learning sequence, you should be able to:

- Define organizational culture and describe its common characteristics/dimensions.
- Identify the factors that create and sustain an organization's culture.
- Show how culture is transmitted to employees.

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Organizational Culture



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- ❑ System of shared values, beliefs and assumptions
- ❑ Distinguishes the organization from other organizations
- ❑ Build behaviours in employees
- ❑ Tells what is celebrated, tolerated and what is not acceptable

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Organizational Culture



Characteristics of Organizational Culture :

- Adaptability – innovative, flexible
- Detail orientation – Precision and attention to detail
- Results/Outcome orientation – Focus on results than the processes used
- People/Customer orientation – Effect of management decisions on people
- Collaboration/team orientation – Emphasis on team over individuals
- Integrity – High ethical standards

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Strong Versus Weak Cultures



Strong Cultures

Values widely shared

Culture conveys consistent messages about what's important

Most employees can tell stories about company history/heroes

Employees strongly identify with culture

Strong connection between shared values and behaviors

Weak Cultures

Values limited to a few people—usually top management

Culture sends contradictory messages about what's important

Employees have little knowledge of company history or heroes

Employees have little identification with culture

Little connection between shared values and behaviors

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How Culture Begins

- Ultimate source of an organization's culture is its founders.
 - Founders have the vision of what the organization should be.
 - Unconstrained by previous ideologies or customs.
 - New organizations are typically small, which facilitates the founders' imparting of their vision on all organizational members.
- Culture creation occurs in three ways:
1. Founders hire employees who think and feel the way they do.
 2. Employees are indoctrinated and socialized into the founders' way of thinking.
 3. Founders' own behavior encourages employees to identify with them and internalize their beliefs, values, and assumptions.

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Keeping a Culture Alive

Three forces play a particularly important role in sustaining a culture:

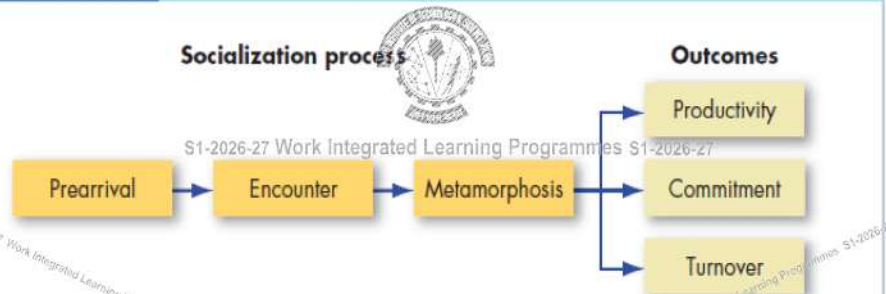
- Selection
 - Identify and select individuals who are high performers and whose values are consistent with at least a good portion of the organization's values
- Top Management
 - Through words and behaviors, senior executives establish norms that filter through the organization
- Socialization
 - The process that helps new employees adapt to the prevailing organizational culture

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Socialization Model

Exhibit 16-2 A Socialization Model



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How Organizational Cultures Form

- Organizational cultures are derived from the founder
- They are sustained through the selection process, managerial action, and socialization methods



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How Employees Learn Culture

- Stories
- Rituals
- Symbols
- Language



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Change Management

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Learning Objectives (Change Management)

- Compare and contrast views on the change process.
- Classify types of organizational change.
- Explain how to manage resistance to change.
- Describe techniques for stimulating innovation.

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What Is Change?

Characteristics of Change

- Is constant yet varies in degree and direction
- Produces uncertainty yet is not completely unpredictable
- Creates both threats and opportunities
- Roadmap to adapt to new situations
- Anxiety, memories of badly handled initiatives
- Disappointment, frustrations, short-changes



Change is the norm; unless an organization sees that its task is to lead change, that organization will not survive.

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Forces of Organizational Change



Forces	Examples
Nature of Workforce	Cultural diversity, aging, immigration and outsourcing
Technology	AI, social media, digital transformation
Economic shocks	Financial crises, recessions, new laws
Competition	M&As, increased regulations
Social trends	Environmental awareness, Attitude towards LGBTQ, change in customer demands
World politics	Rising healthcare, war, New markets, change in world leaders

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Types of Organizational Change



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Planned and Unplanned change



Planned Change

- Intentional, goal-oriented activity
- Change agents – managers or non-managers or even external consultants, responsible for managing change and act as catalysts
- Grow and plant change catalysts
- Changing employee behavior – Communication, training and support
- E.g. Merger & acquisition

Unplanned Change

- Response
- Systemic approach towards future
- Leaders creating an urgency
- E.g. Cyber security attack

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Resistance to change



Individual Sources of resistance

- Habits
- Security
- Economic Factors
- Fear of unknown
- Selective Information processing

Organizational Sources of resistance

- Structural inertia – built-in mechanisms and processes
- Interdependent subsystems
- Threat to expertise
- Threat to power equations

Tactics to overcome resistance to change

- Communication
- Participation
- Building support
- Implementing fairly
- Selecting people who accept changes

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The Change Process and Change Management Models



The Calm Waters Metaphor

- Calm water metaphor suggests that change is an occasional disruption in the normal flow of events
- Organizations operating in a calm water environment can implement change through careful planning and structured approaches, allowing for a smoother transition and less resistance from employees.

White-Water Rapids Metaphor

- The white water rapids metaphor portrays change as a continuous and unpredictable process, akin to navigating a small raft through turbulent waters.
- Organizations in a white water environment must foster a culture of adaptability and continuous learning, as they face frequent disruptions and must navigate through uncertainty.

Understanding these metaphors helps leaders and managers tailor their change management strategies to fit the specific challenges and dynamics of their organizational environments.

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Kurt Lewin's Model



- Determines what needs to change
- Ensure there is strong support from management
- Create the need for change
- Manage and understand the doubts and concerns

- Communicate often
- Dispel rumors
- Empower action
- Involve people in the process

- Anchor the changes into the culture
- Develop ways to sustain the change
- Provide support and training
- Celebrate successes

Simplifies a complex process
Assumes always planned change

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Action Research



- Based on systemic collection of data and then selection of change action based on what the data indicates
- Outside consultant
- Analysis – asks questions, reviews records, interviews employees
- Diagnosis – Primary concerns, Problem areas and Possible actions
- Feedback - Employees with the help of change agents develop action plans to make the change
- Action - Carry out the specific actions identified
- Evaluation - action plans effectiveness against the data gathered initially

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Organizational Development



Organizational Development (OD)

- Techniques or programs to change people and the nature and quality of interpersonal work relationships.
- OD techniques that work for U.S. organizations may be inappropriate in other countries and cultures.

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Organizational Development Techniques

❖ Sensitivity Training

- Members brought together in an open and free environment, individual learn through observing and participating rather than being told

❖ Process consultation

- External consultant to tell what to improve and how

❖ Intergroup Development

- Training sessions resemble diversity training, focus on difference among occupations, departments or divisions within organizations

❖ Appreciative Inquiry

- Discovery, dreaming, design and destiny large group meeting over 2-3 days an overseen by a trained agent

❖ Team building, Survey Feedback



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Organizational Development Techniques



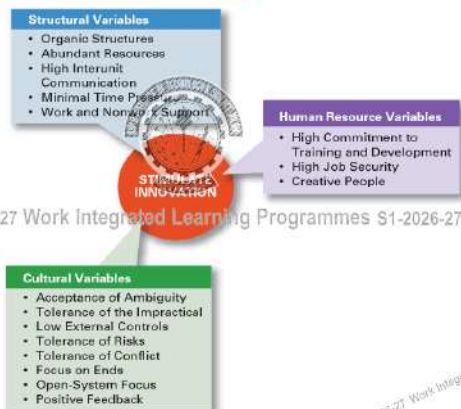
Facilitating Change

- ❖ Creativity - The ability to combine ideas in a unique way or to make an unusual association.
- ❖ Stimulating Innovation - Turning the outcomes of the creative process into useful products, services, or work methods
- ❖ Creating a learning Organization - an organization that has developed capacity to adapt and change

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Innovation Variables



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Exhibit 5 Reducing Resistance to Change

(1) Education and Communication - Communicate with employees to help them see the logic of change. - Educate employees through one-on-one discussions, memos, group meetings, or reports. - Appropriate if source of resistance is either poor communication or misinformation. - Must be mutual trust and credibility between managers and employees. (2) Participation - Allows those who oppose a change to participate in the decision. - Assumes that they have expertise to make meaningful contributions. - Involvement can reduce resistance, obtain commitment to seeing change succeed, and increase quality of change decision. (3) Facilitation and Support - Provide supportive efforts such as employee counseling or therapy, new skills training, or short, paid leave of absence. - Can be time-consuming and expensive.	(4 and 5) Manipulation and Co-optation - Manipulation is covert attempts to influence such as twisting or distorting facts, withholding damaging information, or creating false rumors. - Co-optation is a form of manipulation and participation. Co-optation is expensive and easy ways to gain support of resisters. Only fail miserably if targets feel they've been tricked. (6) Selecting People Who Accept Change - Ability to easily accept and adapt to change is related to personality. - Select people who are open to experience, take a positive attitude toward change, are willing to take risks, and are flexible in their behavior. (7) Coercion - Using direct threats or force. - Inexpensive and easy way to get support. - May be illegal. Even legal coercion can be perceived as bullying.
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Case Study 1



- Although New Ideas, Inc., has been in business for 30 years, the company and its employees seemingly have been in a constant state of change. Louis Snyder has been president of New Ideas, Inc. for the last 15 years. During this time, he has had to change the strategic focus of the company three times. It seems as though his competition is always introducing new products into the market, and New Ideas, Inc.'s niche products are constantly changing. Moreover, the government has been active in passing new legislation to increase the control of the product packaging and product contents. The technology used to manufacture the products has continually changed to make the process more efficient.

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Question



- New Ideas, Inc., focuses on new ideas, uses technology that changes frequently, and has strong competition in the market, describes what metaphor of change?

- White-Water

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Case Study 2



Edwin Edwards is a team leader for Lightspeed.com, an e-business that has employees in every global time zone. Some of the factors that the team has to contend with are deadlines, strong work ethic, the creativity-innovation chain, high-speed turnaround, and professionalism. As team leader, Edwin sees team members via videoconference only a few times per year or via compressed video via Internet a few times more per year. A frustration that he is encountering is that he works with all of these people and does not have control over their "actual" work or the few organizational rules, regulations, and policies. Yet, due to the position he is in, he feels he gets all of their complaints. The team does not deal well when a member offers an "off-the-wall" solution to a team problem; team members seem to have more trouble with this than any other team-conflict issue. What he likes most about leading the team is that they seem to prefer getting their objective accomplished instead of wasting time trying to decide who should be doing what tasks.

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Question 1



- When a member offers an "off-the-wall" solution to a team problem, it appears that Edwin has to contend with what cultural variable?

- tolerance of the impractical

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Question 2



- The part Edwin likes the most is that the team seems to prefer getting their objective accomplished instead of wasting time, which indicates that the team is _____.
- focused on ends rather than means

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Case Study 3



Although New Ideas, Inc., has been in business for 30 years, the company and its employees seemingly have been in a constant state of change. Louis Snyder has been President of New Ideas, Inc. for the last 15 years. During this time, he has had to change the strategic focus of the company three times. The employees have become vocal recently about the decrease in their bonus checks and their desire for increased profits. It seems as though his competition is always introducing new products into the market, and New Ideas, Inc.'s niche products are constantly changing. Moreover, the government has been active in passing new legislation to increase the control of the product packaging and product contents. The technology used to manufacture the products has continually changed to make the process more efficient.

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Question 1



- The technology change in the manufacturing process of New Ideas, Inc.'s products to make the process more efficient is the result of a competitor lowering its price. Therefore, it was a(n) _____.

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- External Force of Change

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Question 2



- Mr. Snyder has had to change the strategic focus of the company three times. The change in strategic focus of the New Ideas, Inc., is a(n) _____.

- Internal Force of Change

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Question 3

- When the employees express their concern about their bonus checks, which of the following types of forces of change is constraining Mr. Snyder?

- Internal Force of Change

Thank you

Managing People and Organization

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Management Off-Campus

MBAZG511 Managing People and Organizations

Lecture No. 14

Learning Objectives

- Recruitment
- Selection
- Case study – “Looking for Work-Life Balance?”



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Hiring

Hiring involves two broad groups of activities:

- Recruitment
- Selection



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Recruitment

Recruitment involves attracting and obtaining as many applications as possible from eligible job-seekers

- Internal
- External



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Job Analysis

Gather, Examine, Interpret

- Content, context, human requirements

Provides inputs for

- Hiring
- Training and development
- Performance appraisal
- Salary and wage fixation



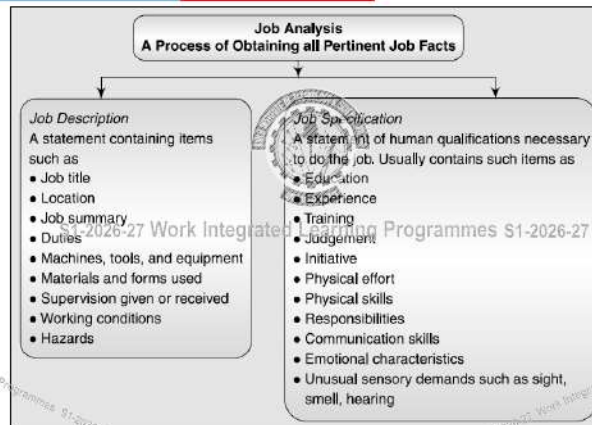
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Nature of Job Analysis



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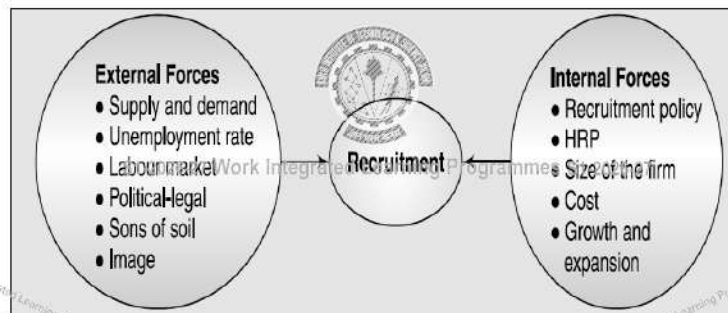
Purposes and Importance of Recruitment

- Determine the **present and future requirements of the firm**
- **Help reduce the probability that job applicants, once recruited and selected, will leave the organization within a short period of time**
- **Meet the organization's legal and social obligations** regarding the composition of its workforce
- **Increase organizational and individual effectiveness** in the short term and long term
- **Evaluate the effectiveness of various recruiting techniques and sources for all types of job applicants**

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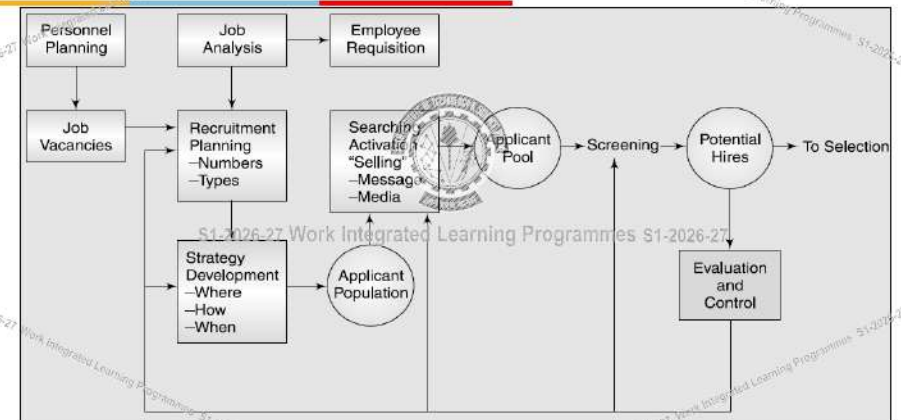
Factors Governing Recruitment



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Recruitment Process



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Recruitment Process

Recruitment Planning

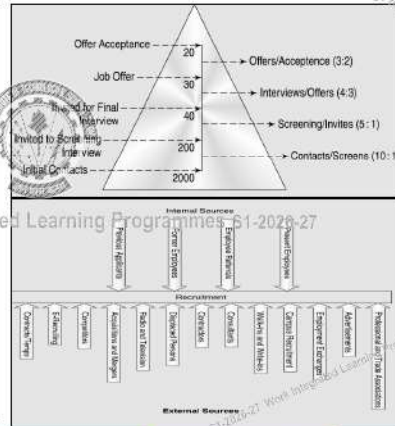
- Number of Contacts
- Type of Contacts

Strategy Development

- 'Make' or 'Buy'
- Technological Sophistication
- Where to Look
- How to Look

Evaluation of Internal Recruitment

- It is less costly and firms typically have better knowledge
- promoting from within enhances employees morale



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Recruitment Process

External Recruitment

- Specifically, sources external to a firm are professional or trade associations, advertisements, employment exchanges, college/university/institute placement services etc

Temps and Contract Workers

- Contract workers, by their numbers, are almost dwarfing the small no. of regular employees
- Also called just-in-time workers, temps are not limited to clerical or maintenance requirement

E-Recruiting

- This source is widely used for entry level and mid-level positions

Professional and Trade Associations

- Many associations provide placement services for their members

Advertisements

- These constitute a popular method of seeking recruits as many recruiters prefer advertisements because of their wide reach

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Recruitment Process

Internal Recruitment

Advantages

1. It is less costly.
2. Candidates are already oriented towards company.
3. Organisations have better knowledge about the internal candidates.
4. Enhancement of employee morale and motivation
5. Good performance is rewarded.

Disadvantages

1. It perpetuates the old concept of doing things.
2. It abets raiding.
3. Candidates' current work may be affected.
4. Politics play greater role.
5. Morale problem for those not promoted.

External Recruitment

Advantages

1. Benefits of new skills, new talents and new experiences to organisations.
2. Compliance with reservation policy becomes easy.
3. Scope for resentment, jealousies and heart-burn are avoided.

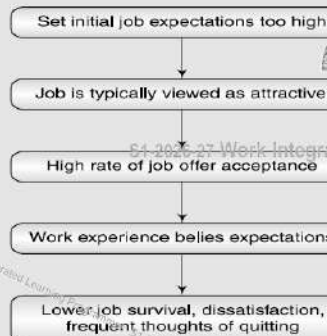
Disadvantages

1. Better morale and motivation associated with internal recruiting is denied to the company.
2. It is costly.
3. Chances of creeping in fake positive and false negative errors.
4. Adjustment of new employees to the organisational culture takes longer time.

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Philosophies of Recruiting

Traditional Procedures



Realistic Procedures



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Alternatives to Recruitment

- Overtime
- Employee Leasing
- Temporary Employment
- Outsourcing
- Gig Work



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Selection

- Selection is the process of picking individuals (out of the pool of job applicants) with requisite qualifications and competence to fill jobs in the organization
- Process of differentiating between applicants to identify and hire those with a greater likelihood of success in a job



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Outcomes of Selection decision

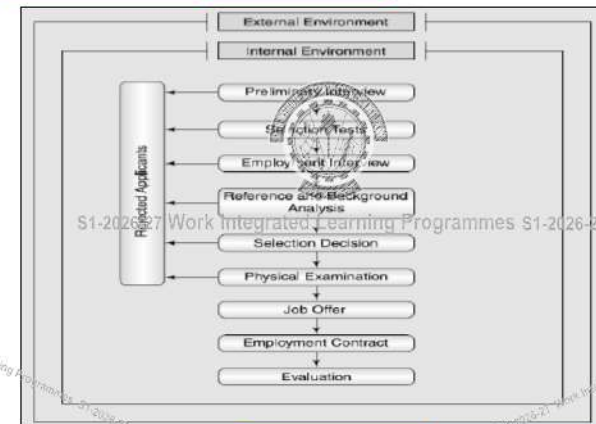
Selection Decision			
Later Job Performance	Accept	Reject	
	Correct decision	Reject error	
Unsuccessful			
Successful	Accept error	Correct decision	



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Selection Process



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Types of Interview

Type	Type of Questions	Usual Applications
Structured	A predetermined checklist of questions, usually asked of all applicants.	Useful for valid results, especially when dealing with large number of applicants.
Unstructured	Few, if any, planned questions. Questions are made up during the interview.	Useful when the interviewer tries to probe personal details of the candidate to analyse why they are not fit for the job.
Mixed	A combination of structured and unstructured questions, which resembles what is usually done in practice.	A realistic approach that yields comparable answers plus indepth insights.
Behavioural	Questions limited to hypothetical situations. Evaluation is based on the solution and approach of the applicant.	Useful to understand applicant's reasoning and analytical abilities under modest stress.
Stressful	A series of harsh, rapid fire questions intended to upset the applicant.	Useful for stressful jobs, such as handling complaints.

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Common Interview Problems

1. Interviewers do not seek applicants' information dimensions needed for successful job performance
2. Interviewers may make snap judgments early in the interview
3. Interviewers permit one trait or job-related attribute to influence their evaluation of the remaining qualities of an applicant – Halo effect
4. Information from interviews is not integrated or discussed in a systematic manner
5. Interviewers' judgments are often affected by the pressure to favour a candidate
6. Interviewer's judgment regarding an applicant is often affected by the list of available applicants

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Selection Challenges

Barriers to Effective Selection

- Perception
- Fairness
- Validity
- Reliability
- Pressure

Guidelines to Interviewers

Do's	Don'ts
• Plan the interview • Establish an easy and informal relationship • Encourage the candidate to talk • Cover the ground as planned • Probe where necessary • Analyse career and interests to reveal strengths, weaknesses, patterns of behaviour • Maintain control over the direction and time taken for the interview	• Start the interview unprepared • Plunge too quickly into demanding questions • Ask leading questions • Jump to conclusions on inadequate evidences • Pay too much attention to isolated strengths or weaknesses • Allow the candidate to gloss over important facts • Talk too much

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Selection Process

Reference and Background Checks

Reference checks cover the following Criminal record checks, Previous employment check, Educational record checks etc

Selection Decision

- The views of the line manager will be generally considered in the final selection because it is he/ she who is responsible for the performance of the new employees

Physical Examination

- A job offer is, often, contingent upon the candidate being declared fit after the physical examination

Job Offer

- Job offer is made through a letter of appointment
- The company may also want the individual to delay the date of reporting on duty
- Decency demands that the rejected applicants be informed about their non-selection
- It needs no emphasis that the applications of selected candidates must also be preserved for future references

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Selection Process

Concluding the Selection Process

- Contrary to popular perception, the selection process will not end with executing the employment contract
- There is another step — a more sensitive one — reassuring those candidates who have not been selected
- The issue relates to 'No Shows' by selected candidates. These are the individuals who pass through the selection rigour, receive employment offers, but fail to report to duties

Selection Process

Assessment Centres

- Selection tool used for assessing candidates for managerial or consulting jobs
- An assessment centre is not a physical location but an approach to selecting managers based on measuring and evaluating their ability to perform critical tasks
- An assessment centre may last from two to five days, during which time a group of candidates (usually 6 to 12) takes a series of work sample tests and other selection devices, such as various interviews, tests, exercises and feedback sessions
- Panel of line managers are drawn from different departments, specifically trained as evaluators are allowed to assess and share feedback

Making selection effective

- Competency based hiring
- Training interviewers – specific skills of the candidates, overcoming biases, active listening, types of questions
- Assessing culture fitment
- Selection practices in hiring skilled and managerial personnel should be well-defined and systematically practiced
- Selection of managers is assuming unorthodox dimensions nowadays particularly in talent driven business such as financial services, consulting and software services
- Another trend observed is to attract and hire 'stars'. Stars beget stars is the belief
- Gamification is an emerging tool for selection

Looking for Work-Life Balance?

Looking for Work-Life Balance?

Anyone who has tried to balance his/her time between a busy job and a fulfilling personal life knows how challenging a work-life balance can be. An indisputable fact is that work and personal life are interconnected. Companies know this. Potential recruits also know this. It has become more of an issue in recent years due to some important demographic changes that are affecting many workers. For example, companies are experiencing rising demands for expansion of child and elder care programs. This is not surprising given the aging of the US population and that Gen-Xers are starting to have families. Thus, many recruits who are members of the 'sandwiched generation' (i.e., sandwiched between elderly parents and young children and therefore have to provide care for both sides of family members) consider as part of their employment decisions. The number and type of work-life balance programs that potential employers offer are clinching considerations. Other demographic changes that are contributing to this rise is the demand for work-life balance programs include the increase of single parents entering the workforce and the rise of dual career couples. In both cases, parents who shoulder care giving responsibilities often seek flexible work arrangements and more flexible career cycles. Flexible career cycles allow individuals to have their career tracks temporarily to raise a child, care for a sick parent and so on. These individuals are welcomed back to work and placed into career oriented positions.

Are companies using work-life balance programs attracting top candidates to join their firms? The answer is yes. Whirlpool attempts to attract recruits with the company's family friendly culture. To illustrate, the company arranged for housing for an intern and his family for the entire summer.

Looking for Work-Life Balance?



Some time ago, Xerox, two executives successfully shared one job so that they can have more time at home with their young children. After ten years, the job sharing arrangement is working whereby both executives report high levels of satisfaction at the arrangement and the company has been able to retain two productive and experienced employees.

Flextime programs that allow employees limited control over which days and hours they have to be working at the office are becoming popular at many companies. For example, an employee may prefer to work a 4-day/ 10-hours-a day week instead of traditional 5-day, 8-hour-a day week. The shorter work week may allow the employee to attend children's sporting events, provide weekend care to an elderly parent or engage in other important activities. Companies such as HP, Merrill Lynch, Deloitte, and Cigna have implemented flextime programmes.

Related to flextime is telecommuting which allows employees to work in their home part or full time while being connected to the office via internet, phone lines and the like. Although, some managers and supervisors fear loss of control from this type of work-family arrangement, companies like Pfizer have been careful to create an effective telecommuting policy. For example, in order to qualify for the program, Pfizer employees are required to demonstrate that the work can be accomplished off-site, to submit a formal proposal outlining performance standards and to limit the number of days worked off-site to no more than two per week.

Work-Life balance programs such as job sharing, flextime and telecommuting are designed for both retaining and attracting talent. As new college graduates increasingly find themselves providing

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Looking for Work-Life Balance?



Care to both their aging parents and young children, the value of this program will only increase. Undoubtedly, this will make work-life friendly companies more attractive in the marketplace.

Questions

1. Why is there a need for companies to offer work-family balance programs such as job sharing and telecommuting?
2. Of the three programs discussed above, which would be the most important program for you personally when deciding whether or not to join a company? Why?
3. Some organisations do not believe in offering any of these work-life balance programs. What do you think their reasoning is? Explain.

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Thank you



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Managing People and Organizations

BITS Pilani

Management - Off Campus

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MBAZG511 Managing People and Organizations

Lecture No. 15

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Learning Objectives – Compensation Management

- Identify the different components of compensation
- Theories of Compensation Management
- Identify the variables that influence employee compensation
- Case study

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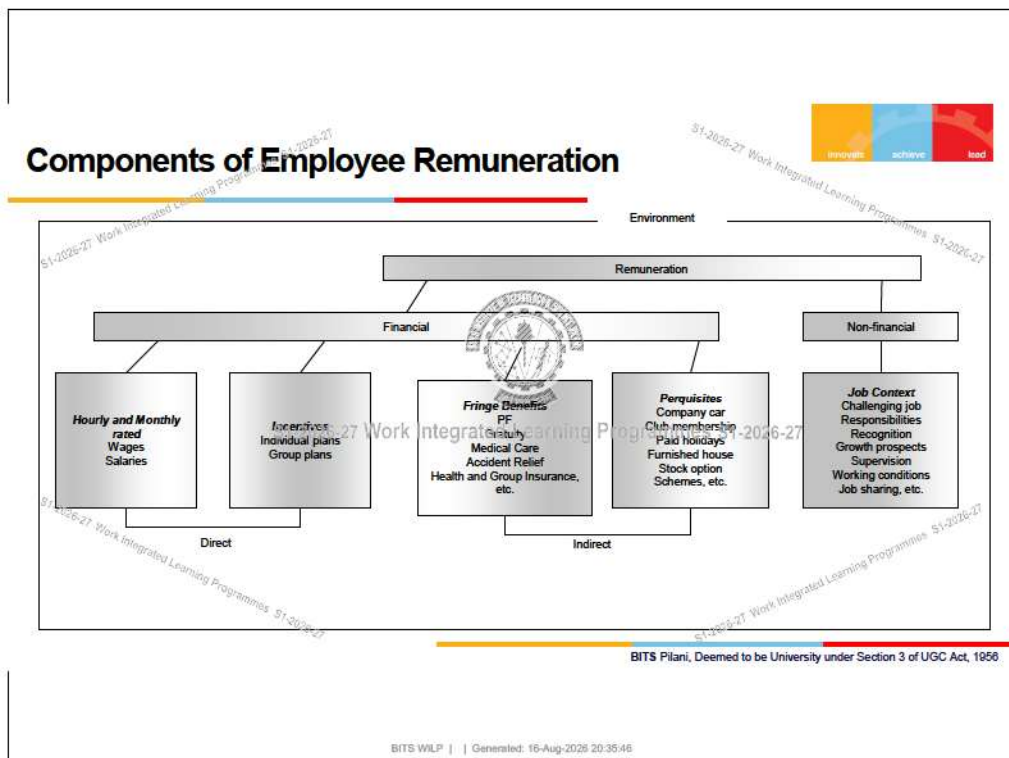
Compensation Philosophy

Specifically, compensation philosophy should cover the following:

- What are the goals of the organisation's compensation system?
- What constitutes base salary?
- What percentage of compensation should be linked to individual/unit performance?
- What would the benefits programmes include and what is the strategy for benefits management?
- What is the role of performance appraisal in disbursing compensation?
- How to target the positioning of compensation of employees relative to market?
- At what frequency would salaries be reviewed and on what basis would this review happen?

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Components of Employee Remuneration



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graph TD
    Environment --> Remuneration
    Remuneration --> Financial
    Remuneration --> Non-financial
    Financial --> Direct
    Financial --> Indirect
    Direct --> Hourly_Monthly[Hourly and Monthly rated Wages Salaries]
    Direct --> Incentives[Incentives Individual plans Group plans]
    Indirect --> Fringe_Benefits[Fringe Benefits PF Gratuity Medical Care Accident Relief Health and Group Insurance, etc.]
    Indirect --> Perquisites[Perquisites Company car Club membership Paid holidays Furnished house Stock option Schemes, etc.]
    Non-financial --> Job_Context[Job Context Challenging job Responsibilities Recognition Growth prospects Supervision Working conditions Job sharing, etc.]
  
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Theories of Compensation

- **Reinforcement** - The core idea of this theory is that actions followed by favorable outcomes are likely to be repeated, while those followed by unfavorable outcomes are less likely to occur. In practical terms, reinforcement theory highlights how managers can use rewards and consequences to shape workplace behavior and motivation.
- For example, by implementing positive reinforcements like incentives or recognition, organizations can encourage desired behaviors, such as meeting deadlines or achieving targets.
- **Expectancy Theories**
- Expectancy Theory posits that motivation is driven by the belief that effort will lead to desired performance & outcomes.
- The theory comprises three components: expectancy (belief in effort-performance linkage), instrumentality (belief performance leads to outcomes) & valence (value of outcomes).
- Enhancing motivation involves clarifying job expectations, ensuring valued rewards & establishing clear links between performance & outcomes.

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Theories of Compensation

- **Equity Theory**
- When employees perceive a lack of fairness, it can result in negative emotions, reduced productivity, and increased turnover. On the other hand, when employees perceive fairness and equity, it fosters a positive work environment, enhances motivation, and strengthens organizational commitment.
- Inputs refer to the contributions employees make to their work, such as their time, effort, skills, and experience. Outputs, on the other hand, represent the rewards employees receive, including their salary, benefits, recognition, and opportunities for growth and development.
- According to Equity Theory, individuals compare their inputs and outputs to those of their colleagues. They seek a sense of fairness by evaluating the ratio between their inputs and outputs and comparing it to the ratios of their peers.

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Expectancy and Equity Theory

- <https://www.youtube.com/watch?v=PJ2p0Y54zfU>

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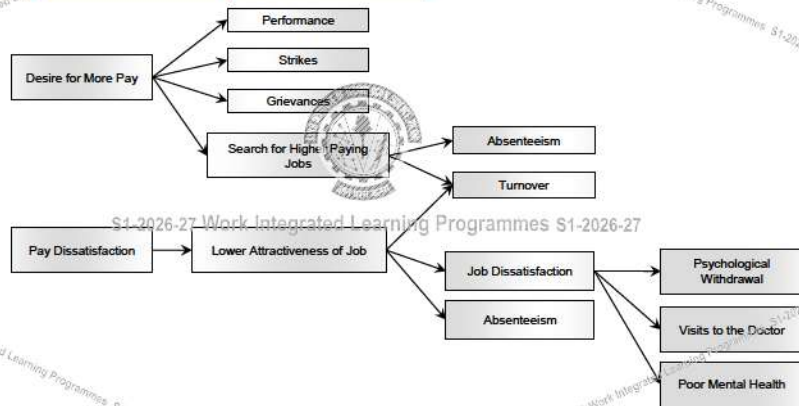
Theories of Compensation

- **Agency Theory**
- Employers and employees are the two main stake holders
- Employers – principal
- Employees – agents, hence salaries = agency cost
- Interest of the agents should be in line with the interest of the principal
- Behaviour oriented – Merit pay
- Outcome oriented – stock options, profit sharing and commissions

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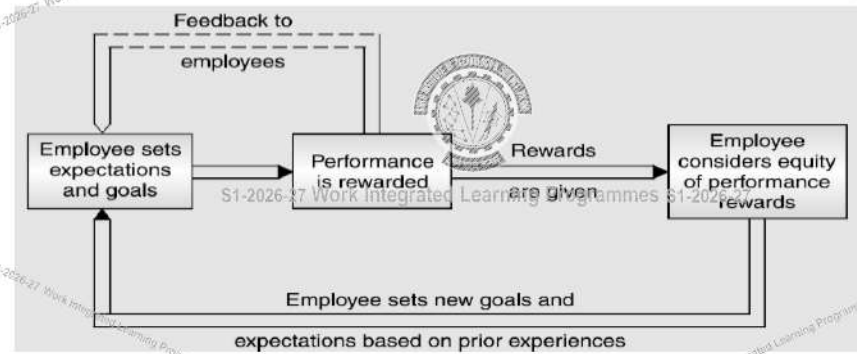
Consequences of Pay Dissatisfaction



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Motivation and Performance Model



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Pause and ponder

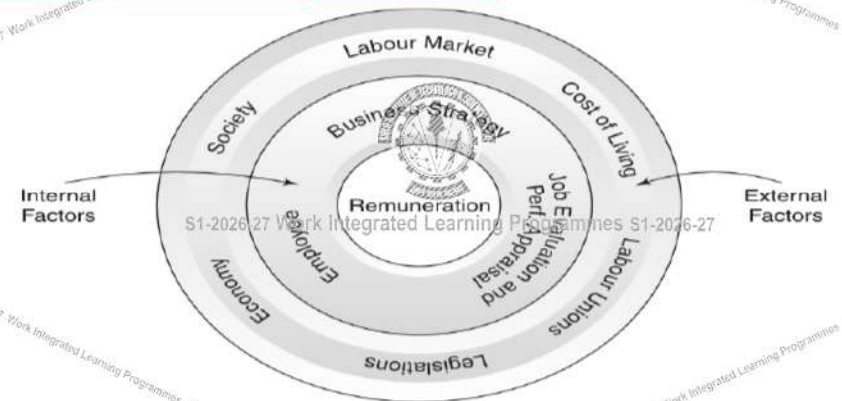
1. Do you think people work only for pay? Ascertain views of you colleagues

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Factors Influencing Remuneration



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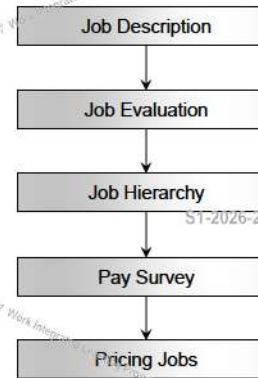
Business strategy and remuneration

Business Strategy	Market Position and Maturity	Compensation Strategy	Blend of Compensation
Invest to grow	Merging or growth rapidly	Stimulate entrepreneurialism	High cash with above average incentive for individual performance. Modest benefits.
Manage earnings—protect markets	Normal growth to maturity	Reward management skills	Average cash with moderate incentives on individual, unit, or corporate performance. Standard benefits.
Harvest earnings—reinvest elsewhere	No real growth or decline	Stress on cost control	Below-average cash with small incentive tied to cost control. Standard benefits.

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Devising compensation plan



- Job Descriptions: help to identify important job characteristics
- Job Evaluation: establish relative worth of jobs
- Job Hierarchy: points assigned to all compensable factors are aggregated
- Pay Surveys: prevailing wage and salary rates in the labour market need to be ascertained
- Pricing Jobs: Pay Levels and Determining Pay Grades

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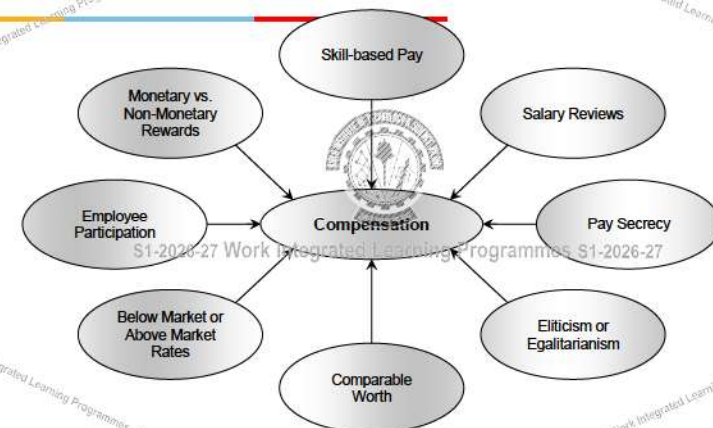
Pause and ponder

A pay survey report shows that a Mid-size company is underpaying its employees. However, there is no real threat of any attrition. What should the management do?

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Challenges of Compensation



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• Case let

<https://www.youtube.com/watch?v=2ADpXq4iQ-U>

11:00 to 13:00 min



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Case Study: The Pay Equity Dilemma at TechNova Solutions

TechNova Solutions is a fast-growing mid-sized IT services company based in Bengaluru with nearly 1,200 employees. The company provides software development and digital transformation services to international clients.

Over the last three years, the company expanded rapidly and hired employees aggressively from competitors. Because of this, compensation decisions were often made quickly to attract talent. Recently, employee dissatisfaction regarding compensation has increased. Several experienced employees discovered that newly hired employees in similar roles were earning significantly higher salaries.

The issue became serious when two senior software engineers, Priya and Arjun, informally compared salaries during a project discussion. Priya had worked for the company for five years and consistently received excellent performance ratings. However, she discovered that Arjun, who joined only six months ago with similar qualifications and responsibilities, earned 25% more.

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Case Study: The Pay Equity Dilemma at TechNova Solutions

Soon afterward:

- Employees began discussing salary differences openly.
- Team morale declined.
- Some high-performing employees started applying for jobs elsewhere.
- Managers complained that they lacked clear compensation guidelines.
- HR noticed rising attrition among experienced employees.
- At the same time, the Finance Department warned that increasing salaries across the organization would significantly affect profitability.

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Current Compensation Practices

- Salary decisions are largely negotiated individually during hiring.
- Annual increments depend mainly on manager recommendations.
- There is no formal salary band structure.
- Variable pay exists but performance metrics are unclear.
- Employees receive standard benefits such as health insurance and provident fund.

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Employee Reactions

Senior Employees

- Feel undervalued and unfairly treated.
- Believe loyalty is not rewarded.
- Perceive compensation decisions as inconsistent.

New Employees

- Believe higher market salaries are necessary to attract talent.
- Feel they should not be penalized for negotiating better offers.

Managers

- Want flexibility in rewarding top performers.
- Feel HR policies are too vague.

HR Department

- Wants to introduce a structured compensation management system.
- Plans to conduct salary benchmarking and job evaluation.

Case Study: The Pay Equity Dilemma at TechNova Solutions



Discussion Questions

1. Identify the major compensation management issues in this case.
2. Explain the role of internal equity and external equity in this situation.
3. How can compensation dissatisfaction affect employee motivation and organizational performance?
4. Which motivational theories are relevant to this case?
5. Should organizations prioritize market competitiveness or internal fairness in compensation decisions?
6. What compensation strategy would you recommend for TechNova Solutions?
7. How can performance-linked pay be implemented effectively?
8. What role should HR play in designing compensation systems?

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1. Major Compensation Management Issues

Key issues include:

- Pay inequity between existing and new employees.
- Lack of standardized salary structures.
- Absence of transparent compensation policies.
- Weak linkage between performance and rewards.
- Poor communication regarding compensation decisions.
- Risk of employee turnover and reduced morale.

Case Study: The Pay Equity Dilemma at TechNova Solutions



2. Internal Equity vs External Equity

Internal Equity

Refers to fairness of pay among employees within the organization.

Problem:

Experienced employees performing similar jobs receive lower compensation than newly hired employees.

Impact:

Feelings of injustice

Reduced motivation

Workplace conflict

External Equity

Refers to competitiveness of salaries compared with market rates.

Problem:

The company increased salaries for new hires to remain competitive in the labor market.

Impact:

Easier talent acquisition

Increased compensation costs

Internal dissatisfaction

The company failed to balance internal and external equity effectively.

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Case Study: The Pay Equity Dilemma at TechNova Solutions



3. Effects of Compensation Dissatisfaction

- Compensation dissatisfaction may lead to:
- Lower employee morale
- Reduced job satisfaction
- Decreased productivity
- Higher absenteeism
- Increased turnover
- Reduced organizational commitment
- Workplace conflicts
- Lower trust in management
- Long-term effects include employer brand damage and difficulty retaining talent.



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Case Study: The Pay Equity Dilemma at TechNova Solutions



4. Relevant Motivation Theories

Equity Theory – John Stacey Adams

Employees compare their inputs and rewards with others. Perceived unfairness creates dissatisfaction and demotivation.

Expectancy Theory – Victor Vroom

Employees will be motivated when they believe performance leads to valued rewards. Unclear performance-pay linkage weakens motivation.

Herzberg's Two-Factor Theory – Frederick Herzberg

Salary is a hygiene factor. Perceived unfair pay can create dissatisfaction even if other motivators exist.

Reinforcement Theory – B. F. Skinner

Employees repeat behaviors that are rewarded. Lack of consistent reward systems reduces desired performance behaviors.



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Case Study: The Pay Equity Dilemma at TechNova Solutions



5. Market Competitiveness vs Internal Fairness

Organizations need both:

- External competitiveness helps attract talent.
- Internal fairness helps retain and motivate employees.

Overemphasis on market pay may create resentment internally, while focusing only on internal fairness may reduce hiring competitiveness.

An effective compensation system balances:

- Market benchmarks
- Job value
- Performance
- Employee experience
- Organizational affordability



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Case Study: The Pay Equity Dilemma at TechNova Solutions



6. Recommended Compensation Strategy

Introduce Salary Bands

Create structured pay grades based on job evaluation.

Conduct Market Benchmarking

Compare salaries with industry standards.

Strengthen Performance-Linked Pay

Develop measurable KPIs and transparent appraisal systems.

Improve Compensation Transparency

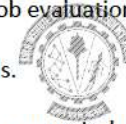
Communicate pay philosophy clearly.

Reward Loyalty and Skills

Recognize tenure, certifications, and critical skills.

Regular Compensation Reviews

Review pay structures annually to reduce inequities.



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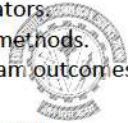
Case Study: The Pay Equity Dilemma at TechNova Solutions



7. Effective Implementation of Performance-Linked Pay

The company should:

- Define measurable performance indicators.
- Train managers in objective appraisal methods.
- Link bonuses to both individual and team outcomes.
- Ensure transparency and fairness.
- Avoid excessive focus on short-term targets.



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Case Study: The Pay Equity Dilemma at TechNova Solutions



8. Role of HR in Compensation Management

HR should:

- Design fair compensation policies.
- Conduct job evaluations and salary surveys.
- Ensure legal compliance.
- Balance employee expectations and financial constraints.
- Communicate compensation philosophy.
- Monitor employee satisfaction and retention trends.



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Thank you

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Managing People and Organizations

Management Off Campus



MBAZG511 Managing People and Organizations

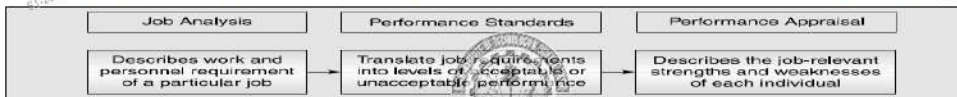
Lecture No. 16 – Performance Appraisal

Learning Objectives

- Performance Appraisal
- The objectives of Performance Appraisal Process
- Designing the Performance Appraisal Process
- Methods of Performance Appraisal
- Performance Management vs. Appraisal

Performance Appraisal

Performance Appraisal is an objective assessment of an individual's performance against well defined benchmarks.

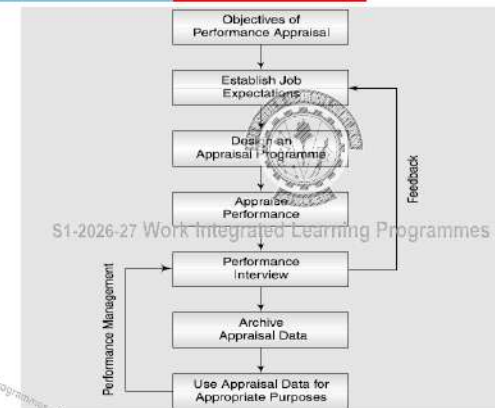


Relationship of Performance Appraisal and Job Analysis

Paradigm Shift in Performance Management Outlook

From	To
- Merit rating - System - Appraisal - Outputs - Top down - Directive - Monolithic - Owned by HR - Routine - Confidential - Actual performance	- Performance management - Process - Joint review - Outputs/inputs 360° and 720° appraisals - Supportive - Flexible - Owned by users - Strategic importance - Transparent - Including potential for performance

The Performance Appraisal Process



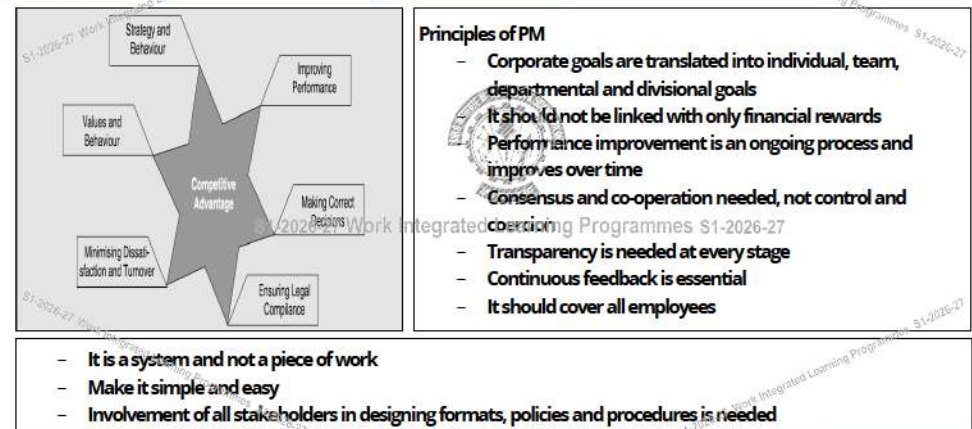
Objectives of Performance Appraisal

General Applications	Specific Purpose
Developmental Uses	Identification of individual needs Performance feedback Determining transfers and job assignments Identification of individual strengths and developmental needs
Administrative Uses/Decisions	Salary Promotion Retention or termination Recognition of individual performance Layoffs
Organisational Maintenance/Objectives	Identification of poor performers HR planning Determining organisation training needs Evaluation of organisational goal achievement Information for goal identification Evaluation of HR systems Reinforcement of organisational development needs
Documentation	Criteria for validation research Documentation for HR decisions Helping to meet legal requirements

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Contribution to firms competitive advantage



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Establish Job Expectations

- What are the expectations?
- Discussion of major responsibilities vis-a-vis the JD

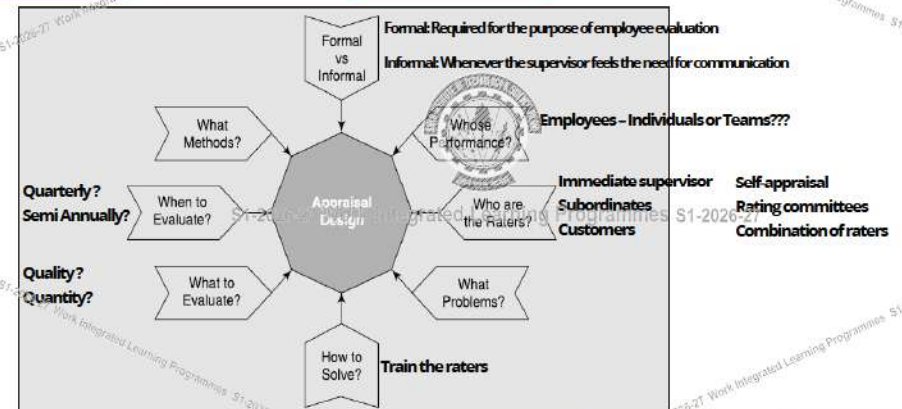


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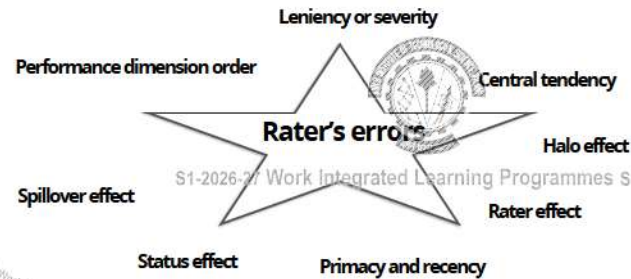
Design Appraisal Programme



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Rating Problems



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Solving Rater's Problems

- ❑ **Provide training to the raters**
- ❑ **Ways to improve accuracy**
 - Rater should be familiar with behaviours to be appraised
 - Rater has checklist to review
 - Train rater for avoiding personal biases
 - Comparison with another set of raters (a second eye)
 - Attention on performance rather than personality
 - Rater's performance measurement should be tied to the quality of rating others
 - Define performance factors objectively

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What should be rated?

1. Quality
2. Quantity
3. Timeliness
4. Cost Effectiveness
5. Need for supervision
6. Interpersonal impact



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When to Evaluate?

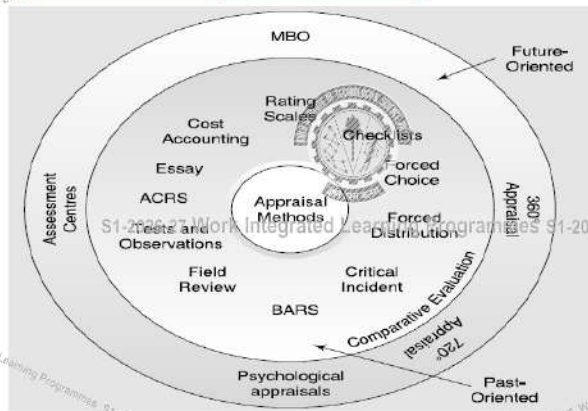
- Can be conducted once in three months, six months
- Project based appraisal
- Majority of the firms, however, conduct appraisal once in a year



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Methods of Performance Appraisal



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Rating Scales

Performance Appraisal

Employee Name _____ Title _____
 Department _____ Employee Payroll Number _____
 Reason for Review: ☐ Annual ☐ Promotional ☐ Unsatisfactory Performance
☐ Merit ☐ End Probation Period ☐ Other _____

Date of last appraisal: _____ Interval of appraisal: _____
 Instructions: Carefully examine employee's work performance in relation to objectives. Check rating box to indicate the employee's performance. Indicate N/A if not applicable. Assign points from 100 to 60. Indicate N/A in the corresponding position. Points will be totaled and averaged to an overall appraisal score.

RATING IDENTIFICATION

O—Outstanding—Performance is exceptional in all areas and is recognizable as being far superior to others.
 V—Very Good—Performance is clearly superior to others.
 G—Good—Performance is of high quality and is advanced in a consistent basis.
 S—Satisfactory—Performance is acceptable.
 N—Not Rated—Not applicable or too soon to rate.

RATING SCALE

GENERAL FACTORS	POINTS	PERFORMANCE DETAILS OR COMMENTS
1. Quality —The quality and quantity of work produced in a specified period of time.	☐ O 100-90 Points ☐ V 90-80 ☐ G 80-70 ☐ S 70-60 ☐ N below 60	
2. Productivity —The quantity and efficiency of work produced in a specified period of time.	☐ O 100-90 Points ☐ V 90-80 ☐ G 80-70 ☐ S 70-60 ☐ N below 60	
3. Job Knowledge —The practical/technical skills and information used on the job.	☐ O 100-90 Points ☐ V 90-80 ☐ G 80-70 ☐ S 70-60 ☐ N below 60	
4. Reliability —The subjects which an employee can be relied upon regarding work completion (not follow-up).	☐ O 100-90 Points ☐ V 90-80 ☐ G 80-70 ☐ S 70-60 ☐ N below 60	

- Adaptable to every role
- Easy to use
- Low cost
- Rater needs no training
- Biases influence
- Numerical scoring gives illusion of precision

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Checklist

- A checklist of statements on the traits of the employee and his or her job is prepared in two columns – Yes/No

- Does he or she obey orders?
- Does he or she keep his/her temper?
- Does he or she observe safety precautions?
- Does he or she possess adequate knowledge about the job?
- Does he or she co-operate with his/her co-workers?

- Standardised
- Rater needs no training

- Halo effect possible
- No scope for relative ratings

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Forced Choice

- The rater is forced to select statements which are readymade
- Learns fast work hard
- Work is reliable performance is a good example of
- Absents often usually tardy

- Absence of personal bias
- Statements may not be properly framed

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Forced Distribution

- Operates under an assumption that employee performance level conforms to a normal statistical distribution

+

- Effective tool to identify future leaders
- Helps overcome leniency
- Kills innovation, fits only annual cycle
- Error of central tendency
- Assuming employee performance conforms to normal distribution



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BARS

- Behaviorally Anchored Rating Scale – consists of a range of descriptive statements of behaviour
- A rater is expected to indicate which behavior of the employee best describes an employee's performance
- Combines traditional rating scales and critical incidents methods



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• BARS – An Example

- For example, in a hypothetical position of human resources coordinator, one of the job holder's responsibilities is to complete status change notices, which update the personnel system regarding changes in employee pay, position, title, supervisor, and personal data.
- The BARS method for this specific task in this specific job could read as follows:
 - 5 — Exceptional performance: Accurately completes and submits all status change notices within an hour of request.
 - 4 — Excellent performance: Verifies all status change notice information with requesting manager before submitting.
 - 3 — Fully competent performance: Completes status change notice forms by the end of the workday.
 - 2 — Marginal performance: Argues when asked to complete a status change notice.
 - 1 — Unsatisfactory performance: Says status change notice forms have been submitted when they haven't.



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Other methods

Field Review Method

- An appraisal by someone outside the assessee's own department usually from the corporate office or the HR department

Performance Tests and Observations

- Employee assessment may be based upon a test of knowledge or skills
- Paper-and-pencil test

ACR

- Annual Confidential records are maintained mostly in government departments, though its application in the industry is not ruled out

Essay Method

- Extremely useful in filling information gaps about the employees that often occur in the better structured checklist method



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Other methods contd...

Cost Accounting Method

- Evaluates performance from the monetary returns the employee yields to his/her organization

Comparative Evaluation Approaches

Compare one worker's performance with his/her co-workers

- Ranking Method
- Paired Comparison Method

Note: + means "better than," - means "worse than." For each chart, add up the number of 1's in each column to get the highest-ranked employee.

FOR THE TRAIT "QUALITY OF WORK"						FOR THE TRAIT "CREATIVITY"					
Employee Rated:						Employee Rated:					
As Compared to:	A	B	C	D	E	As Compared to:	A	B	C	D	E
A Art		+	-	-	-	A Art		-	-	-	-
B Maria	-		-	-	-	B Maria	+		-	-	-
C Chuck	-	+		+	-	C Chuck	+	+		-	+
D Diane	+	+	-		+	D Diane	+	+	-		-
E José	+	+	+	-		E José	+	+	-	+	
Mario Ranks Highest Here						Art Ranks Highest Here					

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Management by Objectives (MBO)

- Specific performance goals are jointly determined by employees and managers.
- Setting the performance standard for subordinates.
- Actual level of goal attainment is compared with the goals agreed upon. Progress toward accomplishing goals is periodically reviewed.
- Establishing new goals and possibly new strategies for goals not attained
- Key elements of MBO:
 - Goal specificity, participative decision making, an explicit performance period, feedback
- Disadvantages
 - Not applicable to all jobs – assembly line
 - Employees might not establish challenging goals
 - Short term goals might be preferred by employees aspiring for rewards vs. long term goals of the organizations

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Psychological Appraisals

- Focus on future potential and not actual performance
- Industrial psychologists are employed for conducting the appraisal

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Assessment Centres

- A central location where managers may come together to have their participation in job related exercises evaluated by trained observers
- Mostly used for executive hiring, assessment centers are now being used for evaluating executive or supervisory potential

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360-Degree and 720-Degree



- 360 Degree – immediate supervisors, team members, peers and self, etc...
- 720-Degree – Internal assessors (as mentioned above) + External assessors (investors, customers, government, and suppliers)

+

- Used as management development tool
- Broader perspective about performance
- Intimidating for employee
- Time consuming

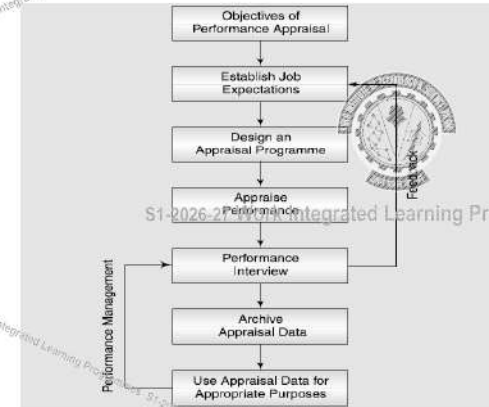


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Performance Appraisal Process (contd.)



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Appraise Performance



Assessments should essentially focus on :

- Individual Traits
- Behaviors exhibited by the assesses
- Knowledge/skills possessed
- Results achieved



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Performance Interview



- Tell and sell (Directive)
- Tell and listen (Dialogue)
- Problem-Solving (Participative)
- Mixed



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<https://www.youtube.com/watch?v=E34Zt1cEpFA>

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Performance Managment

- Store the appraisal data
- Use Appraisal Data for Appropriate Purposes

General Applications	Specific Applications
Developmental Uses	Identification of individual needs Performance feedback Determination of training and job assignments Identification of individual strengths and development needs
Administrative Uses/Decisions	Salary Promotion Retention or termination Recognition of individual performance Lay-offs
Organisational Maintenance/Objectives	Identification of poor performers HR planning Determining organisation training needs Evaluation of organisational goal achievement Information for goal identification Evaluation of HR systems
Documentation	Reinforcement of organisational development needs Criteria for validation research Documentation for HR decisions Helping to meet legal requirements

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Emerging Trends in Performance Management

- Carried out using handheld smartphones using PMS Software
- Individuals can view what others are posting as progress and share the status of the project/task
- ERP based productivity tools make feedback continuous
- Periodic team pulse surveys help managers evaluate team engagement & effectiveness
- Big data tools look at performance online and suggest managers areas to encourage coaching
- AI tools recommend new jobs/careers based on individual's success patterns

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Thank you

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